

Private Credit Screening Memo — Made.com

Sector: Consumer | Retrospective screen of public financials (no live facility) | Prepared by: Muskan Chaudhary

High Risk

Composite score: **2.20 / 5.00**
Decline or heavily structured terms only

Six-Pillar Scorecard

Pillar	Weight	Value	Score	Commentary
Revenue Growth (YoY)	20%	-22.5% YoY (sector median 40%)	1	Revenue moved from 371,000,000 to 287,500,000 (same currency/unit as entered).
Gross Margin	15%	46.3% (sector median 40%)	3	Unit economics above sector median.
Cash Runway	20%	6.3 months at current burn	2	Cash on hand of 31,500,000 against monthly net burn of 5,000,000.
Burn Multiple	20%	Undefined -- revenue contracting while still burning cash	1	Net new revenue is negative: the business is shrinking and still spending cash to do it. Scored at the floor rather than as a ratio -- a negative denominator isn't comparable to a positive-growth burn multiple.
Leverage / Debt Coverage	15%	No debt identified in public sources.	5	Existing leverage assessed against EBITDA or revenue coverage.
Governance & Concentration	10%	2/5 (analyst input)	2	CEO Philippe Chainieux stepped down abruptly in February 2022 citing personal reasons, seven months before the company's collapse. A post-mortem (flinder.co) specifically questioned how the board signed off a clean going-concern assessment only nine months before the company entered administration.

Scores are benchmarked against sector medians and top-quartile figures (see benchmarks.py and SOURCES.md); governance is analyst-assigned. Weighted contribution of each scored pillar to the composite: Revenue Growth (YoY) 0.20, Gross Margin 0.45, Cash Runway 0.40, Burn Multiple 0.20, Leverage / Debt Coverage 0.75, Governance & Concentration 0.20.

Financial Snapshot

Current Revenue/ARR	GBP 287,500,000
Prior Period Revenue/ARR	GBP 371,000,000
Gross Margin	46.3%
Monthly Net Burn	GBP 5,000,000
Cash on Hand	GBP 31,500,000
Net New Revenue/ARR (TTM)	GBP -83,500,000

Existing Debt	None identified
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Key Risks & Notes

Historical case study, screened as if at the August 2022 trading update -- before the actual outcome (administration, 9 Nov 2022; assets sold to Next for GBP3.4m) was known. FY2022 revenue is the midpoint of the company's own guided -15% to -30% gross sales decline (announced 16 Aug 2022) applied to FY2021 actual revenue of GBP371m; FY2022 audited actuals were never published because the company entered administration before year end. Monthly net burn of ~GBP5m/month is derived by dividing the guided FY2022 EBITDA loss (GBP50m-70m, midpoint GBP60m) by 12 -- it is a derived estimate from company guidance, not a directly disclosed cash burn figure, and will understate actual cash burn for an inventory-heavy retailer (working capital consumed cash beyond the EBITDA loss, which is exactly why net cash fell from GBP31.5m at H1 2022 close toward a guided GBP5m-30m by year end). Net new revenue is negative because revenue was contracting -- see the burn multiple pillar in the scorecard for how the tool handles that case rather than dividing by a negative number.

Governance: CEO Philippe Chainieux stepped down abruptly in February 2022 citing personal reasons, seven months before the company's collapse. A post-mortem (flinder.co) specifically questioned how the board signed off a clean going-concern assessment only nine months before the company entered administration.

Data notes: FY2021 revenue (GBP371m) and gross margin (46.3%, down from 53.2% in FY2020) are from the company's own full-year results. H1 2022 net cash (GBP31.5m) and FY2022 EBITDA loss guidance (GBP50m-70m) are from the company's own 18 August 2022 trading update. Exact existing debt / inventory financing terms were not found in the sources reviewed and are left at 0 -- this means 'no evidence found', not 'confirmed debt-free'. See SOURCES.md.

This memo is a decision-support output of a rules-based screening model. It is not a substitute for full due diligence, legal review, or committee judgement.